MODULE 6, CHAPTER 1: THE FOUNDATIONS OF HEALTH & DISABILITY

Historical Origins

- **19th Century USA:** Health insurance is a relatively new financial device. The earliest contracts were issued in the second half of the 19th century, originally designed strictly to indemnify injuries suffered while traveling in railroad cars.
- **Evolution:** These early plans eventually expanded to provide 24-hour coverage, including losses arising from general illness.

The Basic Purpose

- **Dual Function:** The core purpose of health insurance is to reimburse the cost of medical treatment and to **replace lost income** in case of illness or injuries.
- **Disability Income:** Prevents absolute financial ruin (such as foreclosures and repossession) by stepping in to replace a primary wage-earner's lost earnings when they become totally disabled.

Defining "Disability"

- **"His Occupation" Clause:** The most liberal definition. A person is considered totally disabled if they cannot engage in their *regular occupation* (e.g., a surgeon who loses a hand receives benefits even if they are perfectly capable of teaching at a medical college).
- **Strict Definition:** Other policies define disability rigidly as the complete inability of the insured to engage in **any gainful employment** for which they are reasonably fitted.

> **Key Takeaway: The definition of disability dictates the payout. The "his occupation" clause is highly favorable (liberal) to the client, whereas the strict definition demands total inability to perform *any* suitable job to trigger income replacement.**